

downhill since. This could possibly be blamed on its legacy loan portfolio. In FY18, 86% of its loan portfolio was in microcredit. Given the high unsecured component, a series of events impacted its customers in the years leading to FY18, and subsequently: demonetisation in 2016; GST implementation in 2017; Cyclone Fani in Odisha in 2019; the Assam microfinance crisis in 2020; and the periodic farm loan waivers in various states; not to mention the pandemic. As a result, gross NPA ballooned from 1.25% in FY18 to 6.81% in FY21, before coming down to 3.84% in FY24. RoA, too, plunged from 4% levels to 1.44% in FY24 (See table 'Bandhan's Report Card').

The bank also faced an audit from the National Credit Guarantee Trustee Company Ltd (NCGTC), which offers guarantees for collateral-free microloans. The bank used the Credit Guarantee Fund for Micro Units (CGFMU) in FY21, covering a portfolio of ₹20,800 crore. The maximum eligible insurance claim under CGFMU is 15% of the insured amount, that is, ₹3,100 crore. By December 2022, the bank had claimed and received ₹917 crore and made an additional claim of ₹1,296 crore in Q2FY24. The issue arose when NCGTC conducted a sample audit after the second claim, making certain observations. The bank said it had consistently followed the microloan process before, during, and after Covid-19, with specific deviations only during lockdowns. The bank provided the necessary documents, and NCGTC decided to conduct a thorough audit of the portfolio that has 3 million borrowers. The findings are likely to be out soon. The bank, meanwhile, has made 100% provisions for these NPA loans.

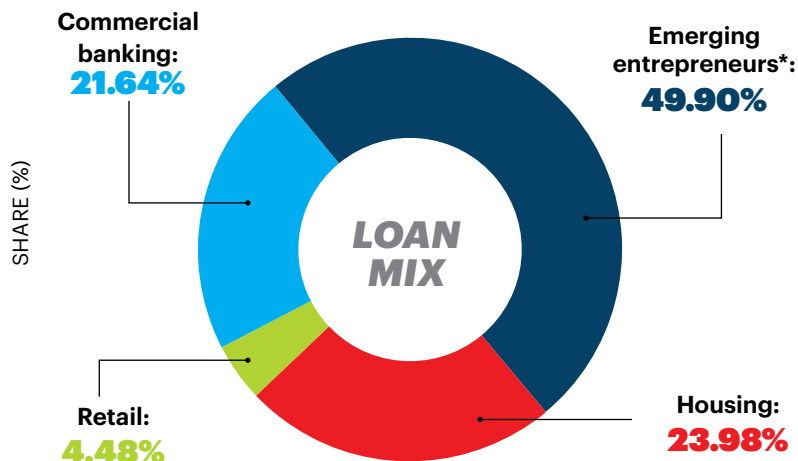
BANDHAN 2.0

In a nearly decade-long journey,

Struggle for Diversification

● Unsecured and secured mix of 57:43 to move to 50:50 by FY26

● Microloans to remain core area for growth



*UNSECURED LOANS; COMMERCIAL BANKING AND RETAIL ALSO HAVE UNSECURED COMPONENTS; DATA AS OF MARCH 2024 **SOURCE** BANDHAN BANK



“Our strategy leverages data science, analytics, and a deep understanding of customer behaviour to drive growth-oriented decision-making”

RAJINDER KUMAR BABBAR

ED & CHIEF BUSINESS OFFICER, BANDHAN BANK

Bandhan has been working towards becoming a universal bank while continuing to create an impact at the bottom of the society. It has put in place a strategy, which it calls Bandhan 2.0, to create the tech architecture, digital solutions, compliance and risk management framework, and customer experience necessary to transform into a truly universal bank. In March 2023, Ghosh hired Kesh, also the bank's COO, to speed up the transformation exercise. The bank has shifted its core banking solution (CBS) from FIS to Oracle, as the FIS system made it challenging to incorporate regulatory changes and fast-changing customer requirements, creating friction with RBI. By completing the transformation in October, Bandhan has addressed almost 90% of the pending regulatory issues. This March, Ghosh picked Babbar, also the bank's Chief Business Officer,